

ALSO ON the Block

The Government could look at 25 other unlisted PSUs

Export Import Bank of India

Punjab & Sind Bank

National Housing Bank

NABARD

SBI Capital Markets

SBI Fund Management Pvt Ltd

UTI Asset Management Company

DPSC Ltd

Manganese Ore

NPCIL

Numaligarh Refinery

Indian Railway Finance Corporation

RITES

Neelachal Ispat Nigam

Cotton Corp of India

Garden Reach Shipbuilders & Engineers

NTPC Vidyut Vyapar Nigam

NTPC Electric Supply Company

NE Development Finance Corporation

Water and Power Consultancy Services

Allbank Finance

Eastern Investments

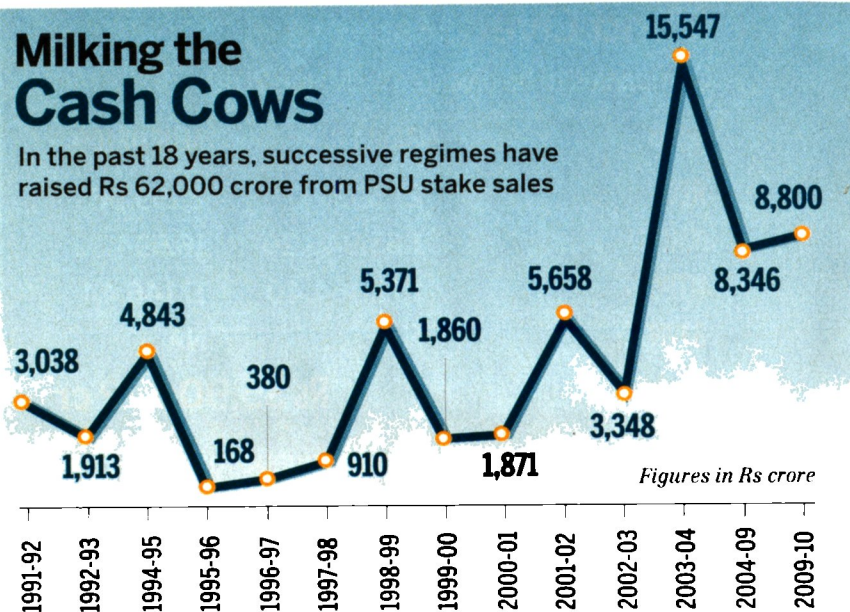
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Milking the Cash Cows

In the past 18 years, successive regimes have raised Rs 62,000 crore from PSU stake sales



three options. One, keep it intact with an amendment to allow money on it to be spent on social sectors and rebuilding psus. Two, disband it and allow the funds to flow into the Consolidated Fund of India; or three, keep the proceeds in a separate account. With no move afoot to clear the air, sceptics rubbish the Government's claim to be serious about disinvestment.

Moreover, there is no timeframe for listing all profit-making psus on the stock market. Mitra admits to bureaucratic hurdles for listing the psus and clearances. The 50 identified could take two years. Says Sanjiv Batra, chairman and managing director, MMTC, "It takes not less than 12 months to hit the market. Till now officials have only asked for details like when did we first go to the market and at what price did we sell our shares and PE ratio? The details have been submitted."

Out of the equation, the Left also promises to disrupt the process on procedural grounds. Although the money will be utilised in social schemes, the Left alleges it is a method to bridge the deficit. What causes the deficit doesn't figure in the argument. Nilotpal Basu of the CPI(M) says the Government is already talk-

There should be no disinvestment of the PSUs even if it is ostensibly for the social sector.

PARTHA CHATTERJEE, TC Leader



Why not recover the Rs 4,18,000 crore that has been gifted to the corporates in tax waivers?

NILOTPAL BASU, CPI(M) Leader

ing about a three-year waiver for the use of the proceeds to cover up the deficit. The other issue, says Basu, is that in the case of profit-making psus, the UPA had said it would come to Parliament with each case before taking a final decision. "I think here they are talking about a blanket disinvestment," he rues. He also suggests the Government garner resources by shifting the burden of taxation from the minuscule population which pays taxes to the huge companies whose earnings have grown by leaps and bounds. "The Government has gifted Rs 4,18,000 crore in terms of tax waivers to the corporates. Why not recover that?" asks Basu.

A string of wins in assembly polls has no doubt strengthened the Congress's position vis-a-vis its allies, enough to revive a stalled and contentious agenda, but it is unclear whether its gamble will work. ■